

There is a financial playbook that has predicted every major market collapse for the last century, and its pages are being turned again right now.

What you're about to see is not a prediction; it's a recurring pattern of survival and profit that the world's most powerful investors are acting on as we speak.

In 1929, a financier named Bernard Baruch executed a precise three-step maneuver. He moved to cash, he accumulated gold, and he bet on market chaos. When the Dow collapsed by 89%, Baruch's fortune was not just intact—it was positioned to grow.

Decades later, in 1987, a hedge fund manager named George Soros enacted the same trio of moves. He built a massive cash position, acquired gold, and purchased options that would explode in value. On Black Monday, as the market fell 22% in a single session, Soros profited enormously while others were wiped out.

The pattern repeated in 2008. A small group of fund managers, having studied this very history, did not just see the subprime crisis coming—they positioned for it with cash, gold, and complex insurance contracts known as credit default swaps. Their funds generated billions as the global financial system crumbled.

And the evidence is overwhelming that this exact three-part strategy is being deployed in 2025 by the most influential names in finance. This isn't a coincidence. It is a calculated response to a predictable economic cycle that always ends the same way.

Let me be clear: these are not ten different strategies. They are three specific, targeted actions. They work because they directly counter the three distinct phases of a financial collapse. Understanding this sequence gives you a critical choice. You can watch from the sidelines as your wealth evaporates, or you can recognize the signals and take defensive action. The playbook is open. The moves are being made. The same playbook predicts every crash.

The first phase is the exit. Astute capital identifies when market prices have detached from underlying value and risk outweighs potential gain. This is the moment to liquidate positions and raise cash, creating a shield for your capital before the storm hits.

The second phase is preservation. While holding cash protects you from initial losses, you then become exposed to the currency devaluation and inflation that inevitably follow a crisis. The 5,000-year-old solution is to allocate a portion of that cash to gold, a hard asset that maintains its purchasing power when paper currencies falter.

The third phase is the offensive strike. This is where you don't just defend your wealth—you grow it by profiting from the downturn itself. This requires specialized instruments that rise in value as fear and volatility spike.

Now, let's trace these three moves through history, starting with the exit to cash. This is the earliest signal, typically occurring 12 to 18 months before the peak.

In 1929, Bernard Baruch was a legendary speculator. He had profited handsomely throughout the Roaring Twenties, but by mid-1929, he saw danger. Margin debt was at astronomical levels, and euphoria had blinded the masses. Baruch methodically sold his holdings, converting them to cash over several months. By September, he was largely out. The market peaked on September 3rd and began its historic crash in October. Baruch was safe, his capital preserved.

In 1987, George Soros's Quantum Fund had massive stock holdings. But by mid-year, Soros and his team saw unsustainable valuations and the dangerous rise of computer-driven program trading. Throughout the summer, they liquidated billions in equities, building a huge cash war chest. The market topped in early October and crashed on the 19th. Soros was not only protected but poised to strike.

Today, the signal is flashing brighter than ever. Warren Buffett's Berkshire Hathaway is sitting on a record \$325 billion in cash. He has been a net seller of equities, including reducing his stake in Apple. Corporate insiders are selling their own company shares at a pace not seen since 2007. The exit is underway.

The second move, gold accumulation, happens concurrently. It's the hedge against the monetary response to the crisis.

After the 1929 crash, the U.S. government under Roosevelt revalued gold from \$20 to \$35 an ounce. Investors like Baruch who had shifted into gold before the collapse saw a 75% gain in their holding's dollar value, a fortress of wealth while the economy floundered.

In the lead-up to 2008, as the smart money was building cash, they were also quietly accumulating gold. John Paulson, famous for his subprime bet, later launched a dedicated gold fund, anticipating the tidal wave of central bank money printing that would devalue currencies. Gold soared from \$600 an ounce in 2006 to over \$1,900 by 2011, multiplying the wealth of those who held it.

Right now, we are witnessing the most aggressive gold-buying spree in modern history. Global central banks have purchased over 3,000 tons of gold in the last three years. China, Russia, and Poland are leading this charge, diversifying away from the U.S. dollar. The price of gold has hit record highs, signaling that the preservation trade is in full swing.

The third and most potent move is the volatility bet. This is how fortunes are forged from fear.

In 1987, George Soros didn't just hold cash and gold. His fund purchased massive quantities of put options on stock indices. These options, which gave him the right to sell at a high price, cost millions in premiums. When the market crashed, their value skyrocketed, netting him a legendary profit in a single day.

The 2008 example is the "Big Short." Investors like Michael Burry bought credit default swaps on mortgage bonds. They paid a small, continuous premium—seemingly burning money—for the right to be paid in full if those bonds failed. When they did, the payouts were astronomical, turning millions into billions.

So, where is this trade showing up today? Look at the credit default swaps on commercial mortgage-backed securities. The cost to insure against defaults has surged by over 400% since 2021. Why? Because sophisticated money sees a ticking time bomb in commercial real estate, with vacant offices and unrefinanceable debt.

Simultaneously, there has been a spike in institutional purchases of put options on the S&P 500 and NASDAQ, with expiration dates set for late 2025 and 2026. They are buying insurance, betting on a dramatic drop. The profit trade is being placed. Protect, preserve, and profit from the fall.

These three moves work because every crash follows the same mechanical sequence. It begins with a bubble, where asset prices lose touch with reality. We are there now, with the Buffett Indicator showing stock market value at 185% of GDP. Then comes euphoria—the belief that "this time is different," currently fueled by AI mania. Next is extreme leverage, with margin debt near all-time highs.

All that's needed is a trigger. It could be a cascade of commercial real estate defaults, a geopolitical event, or the failure of a major bank. The specific catalyst doesn't matter. The trigger forces the liquidation of over-leveraged positions, which crashes prices, which triggers more panic selling. It's a financial death spiral.

The three-part playbook is the antidote. Cash protects you from liquidation. Gold preserves you from the currency devaluation that follows. Volatility bets profit from the panic itself.

So, what can you do? You can implement a simplified version of this strategy. For trade one, raise your cash allocation. If you're heavily invested in stocks, consider taking some profits and holding short-term Treasuries. For trade two, allocate 5-10% of your portfolio to physical gold or a gold ETF. For trade three, consider buying put options on a broad market ETF like the SPY as a form of portfolio insurance. It's a small cost for potentially massive protection.

The final, implicit fourth trade is the most important. After the three defensive moves have paid off—after you've protected your capital, preserved its purchasing power, and even profited from the decline—you must have the courage to deploy that capital at the bottom. You buy quality assets when they are on sale and everyone else is frozen in fear. That is how generational wealth is built.

The timeline is clear. Based on the historical pattern of these trades preceding a crash by 12-18 months, we are in the critical window. The moves are being made. The choice is yours to see the pattern and act, or to ignore it and hope for a different outcome.

If this pattern makes sense to you, and you want to follow these signals as they develop, make sure to like this video and subscribe to HistoWealth. We will be tracking every step of this unfolding story.